

share premiums as income. This would lead to tax litigation during which no investor would invest, as any capital they invest may be used to clear the company's angel tax liability," Siddarth Pai, Co-founder of VC firm 3One4 Capital; and Co-Chair, Regulatory Affairs Council, Indian Venture and Alternate Capital Association (IVCA), wrote in an online post.

Pankaj Makkar, MD of Bertelsmann India Investments, says that while the intent is right, the rules as prescribed could unintentionally impact cases such as convertible notes (a short-term debt utility that converts into equity).

The Budget proposal has left start-ups and investors surprised as the Economic Survey 2022-23 had placed special emphasis on simplifying procedures for capital flows to encourage India-focussed start-ups to shift their domicile to India. Many start-up founders and investors are of the view that such restrictions will give a further push to start-up flipping—a term used to describe companies setting up headquarters in overseas destinations where legal environments and taxation policies

TAX PANGS

▶ **The Union Budget 2023-24 seeks to extend the scope of angel tax provisions to transactions involving foreign investors**

▶ **Investors fear this would lead to more tax litigations and instances of VC money being used to clear angel tax liabilities**

▶ **Start-ups worry the additional tax liability would decrease foreign investment, which constitutes the majority of start-up funding in India, thus hindering their funding prospects**

▶ **The new angel tax proposal is expected to give a further push to start-up flipping, which refers to companies setting up headquarters in overseas locations with favourable legal and tax laws**

are more favourable.

Rahul Singh, Co-founder of eco-friendly products maker Eco-Soul Home, says the amendment increases the risk of litigation for Indian start-ups as they primarily depend on global investors for funds. "It may also incentivise start-ups to relocate overseas to avoid paying taxes. India-registered domestic alternative investment funds are exempted from this, but a significant portion of growth- and late-stage capital is foreign in nature," says Vinod Shankar, Co-founder and Partner of early-stage VC fund Java Capital. Start-ups recognised by the Department for Promotion of Industry and Internal Trade are exempt from taxation. But it's not a blanket exception. Shankar says DIPP's definition of a start-up "is narrow, and it does make it a challenge to fund Series A+ stages".

The start-up and investor communities have appealed to the government to reverse its decision and are awaiting a favourable resolution. **BT**

@binu_t_paul

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your business objectives must be achieved. Our first objective is financial and the second is enhancing the brand's reputation," he says, adding that every event needs to stand on its own. Plus, there's the larger goal of aggregating audiences for the app (Jio Cinema) that WPL is expected to do, and the interest from advertisers has also been immense, he adds. This investment, says Karan Taurani, senior VP at Elara Capital, can pay rich dividends only in the long term, provided women's cricket attracts a mass following. "WPL will bring in a wider target audience to market its brands to women. Return on capital employed would improve in the medium to long term only if it is accepted in a big way and if media rights revenue has a multiplier impact at the next round of auctions in CY28."

For WPL to garner a scalable viewership is certainly an uphill task. But stakeholders are in it for the long haul and are willing to put in the work required to ensure WPL's victory on the pitch. **BT**

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